NextEra Energy, Inc.

NEE NYSE

Buy	$86.75 ▲ 1.19%	12M Price Target **$95.00**	52-Week Range $67.20 – $98.75	Market Cap $180.93B

NEE: Steady Climber Riding the AI Power Boom

WHAT'S CHANGED

- NEE quietly outperformed the broader market yesterday — up 1.2% to $86.75, which is solid for a utility stock that normally moves like a turtle. Volume nearly doubled (19M+ shares), meaning a lot more people than usual were trading it.
- Options traders are leaning heavily bullish — for every put (bet stock goes down) being bought, there are 3.5 calls (bet stock goes up). One unusual trade: 1,727 call contracts at $87 strike expiring this month, which is someone betting NEE keeps climbing in the next two weeks.

IMPLICATIONS

NEE is showing up in a lot of "best utility for passive income" and "10-year buy" articles this week, which means retail investors are paying attention to the AI-power story (data centers need massive electricity, and NEE is America's biggest renewable energy producer). The heavy call buying combined with elevated volume suggests smart money thinks the stock breaks above $90 soon. For someone holding NEE, this is the kind of slow-burn momentum you want — no fireworks, just steady accumulation by big players.

VALUATION

At $86.75, NEE trades around 23-24x next year's earnings — meaning investors are paying about $24 for every $1 of profit. That's a premium to boring utilities (which trade around 18x) but cheaper than pure-play renewables. The premium is justified because NEE has both a regulated Florida utility (Florida Power & Light — boring but reliable cash) AND the biggest renewables development arm in the country. I see about 10-15% upside to $95-98 over the next year, plus a ~3% dividend on top.

KEY RISKS

- Interest rates: Utilities borrow tons of money to build power plants. If rates climb back above 5-6%, NEE's financing costs jump and the stock gets hit hard — this is the #1 risk.
- Political risk on tax credits: A lot of NEE's renewable projects depend on federal tax credits. If Washington claws those back, the growth story takes a real hit.
- It's already up a lot: At 62% of its 52-week range and near $90, you're not getting a bargain entry. A market pullback could drag it back to the low $80s quickly.

RECENT NEWS

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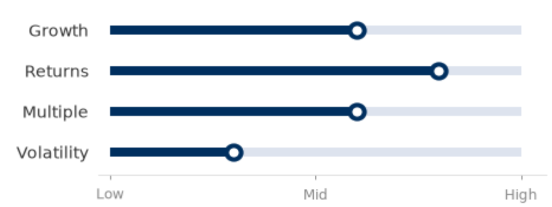
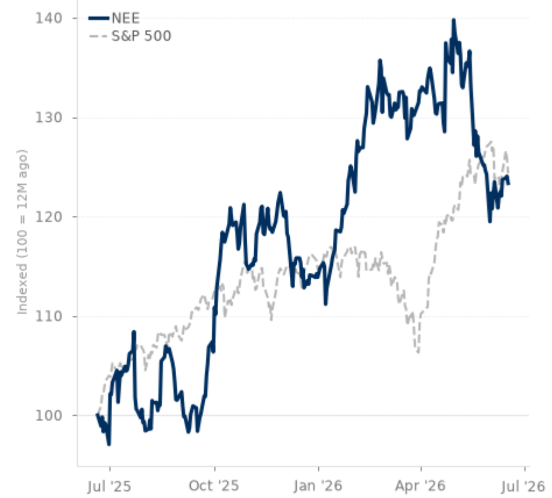
Key Data

Price (USD)	**$86.75**
12M Price Target	**$95.00**
Upside / (Downside)	**+9.5%**
Market Cap	**$180.93B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$30,800M**
FY2026E EPS	**$3.65**
FY2027E EPS	**$3.95**
Fwd P/E	**23.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



NEE — NextEra Energy, Inc. | June 19, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$92.00**	$88.00	**$82.00**
6 Months	**$98.00**	$91.00	**$80.00**
1 Year	**$105.00**	$95.00	**$78.00**
2 Years	**$120.00**	$105.00	**$75.00**
5 Years	**$160.00**	$130.00	**$85.00**
10 Years	**$230.00**	$180.00	**$100.00**

SECTOR INTELLIGENCE

HEATING UP: Independent power producers (Vistra, Constellation) and anything tied to data center electricity — the AI power-demand trade is the hottest thing in utilities right now.

COOLING OFF: Pure regulated utilities with no growth story are getting left behind as investors chase the AI angle.

ROTATION WATCH: Money is flowing from old-school dividend utilities into "AI-adjacent" power names. NEE sits in the sweet spot — it's got the safety of a regulated utility AND exposure to the renewable buildout that data centers need.

RELATED PLAY: If you believe the AI-power thesis, also look at the picks-and-shovels: GE Vernova (turbines), Quanta Services (transmission lines), and Eaton (electrical equipment) all benefit when utilities like NEE build out capacity.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Has been on a tear because they own nuclear plants and signed AI data center deals — investors love nuclear's clean, 24/7 power profile.
- VST (Vistra): Surging on share buybacks and being a primary beneficiary of Texas data center power demand.

NEE CONTEXT: NEE is lagging the high-flying IPPs like CEG and VST because it's a safer, regulated business — but that's also why it's less risky. Think of it as the tortoise in a race where the hares might trip.

INVESTMENT STRATEGY

7/10 **Conviction Score**

Position Size: 4-6% of portfolio

Entry Points: $83-86 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Major regulatory rollback on renewable tax credits or interest rates spiking back above 6%

Hedging: Pair with a short on a more expensive pure-play renewable name, or buy protective puts